India Ratings & Research
A Fitch Group Company

India Ratings Upgrades Sedemac Mechatronics' Bank Facilities to 'IND BBB+'/Positive; Rates Additional Bank Loans

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India Ratings and Research (Ind-Ra) has upgraded Sedemac Mechatronics Private Limited's (SMPL) bank facilities to 'IND BBB+' from 'IND BBB'. The Outlook is Positive. The instrument-wise rating actions are as follows:

Details of Instruments

Instrument Type	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (million)	Rating/Outlook	Rating Action
Fund-based working capital limits	-	-	-	INR540	IND BBB+/Positive/IND A2+	Upgraded
Term loan	-	-	July 2028	INR444.1 (reduced from INR467.79)	IND BBB+/Positive	Upgraded
Fund-based working capital limits	-	-	-	INR100	IND BBB+/Positive/IND A2+	Assigned
Term loan	-	-	February 2031	INR105	IND BBB+/Positive	Assigned

Analytical Approach

Ind-Ra has taken a standalone view of SMPL to arrive at the ratings.

Detailed Rationale of the Rating Action

The upgrade reflects a sustained and strong growth in SMPL's operational performance in FY24 backed by strong product demand and reputed clientele with the addition of new products annually. The upgrade also factors in Ind-Ra's expectation of a further improvement in the companies' operational performance in the near-to-medium term, led by improved product demand and launch of innovative products expanding the product portfolio. Furthermore, the credit metrics remained strong with an increase in the absolute EBITDA while maintaining moderate debt levels.

However, the ratings are constrained by product and customer concentration risk, and technological obsolescence risk as the company derives more than 75% of the revenue from a single customer and 50%-60% of the revenue from two products.

The Positive Outlook reflects Ind-Ra's expectation of a further improvement in the revenue and profitability in FY25 and FY26, and successful operationalisation of a new manufacturing facility while maintaining the credit metrics at the current levels.

List of Key Rating Drivers

Strengths
- Innovative technology with patented products and limited competition
- Significant revenue growth in FY24; likely to continue in near-to-medium term
- Improvement in EBITDA margins in FY24; although likely to moderate slightly in near-to-medium term
- Sustained strong credit metrics
- Experienced and highly qualified top management with skilled work force

Weaknesses
- Customer and product concentration risk
- Technology obsolescence risk
- Significant continuous investments in research and development (R&D) through internal accruals

Detailed Description of Key Rating Drivers

Innovative Technology with Patented Products and Limited Competition: SMPL manufactures sensor less motor controllers for power trains engines of two wheelers (2Ws) and three wheelers (3Ws), which is a unique and patented technology of the company. Its principal product , a compact motor generator, is a replacement of traditional motor generators used in 2W, which comprised of multiple components and used sensors to start the engines. Furthermore, the company launched similar products for e-2W/3W engines. With the product innovation, SMPL is the only supplier of this technology globally enabling a high demand for the product while maintaining healthy gross margins. The company is developing various new products including motor controllers with sensor less technology for power tools. The management believes these products could become a major revenue source if the company is able to successfully launch them in the market. The company's products face some competition from traditional motor controller; however, the company has been able to successfully capture market for its products.

Significant Revenue Growth in FY24; Likely to Continue in Near-to-medium Term: SMPL derives the majority of its revenue from the sale of its principal products, which are used in 2W engines. The company's revenue grew at a CAGR of 21% to INR5,305 million over FY20-FY24 (FY23: INR4,230.80 million, FY22: INR2,832.70 million), majorly led by a 31% yoy increase in sales volume to 7.15 million units (FY23: 5.14 million units, FY22: 4.50 million units). The increase in sales volume was on account of higher demand by its key customer, a leading automobile original equipment manufacturer, and was supported by demand from new customers onboarded by the company in FY24. The scale of operations remains medium. FY24 financials are provisional.

The agency expects growth in 2W sales to remain moderate at 7%-10% in the near term as the pent-up demand after covid dries up. However, growth in 2W sales shall be supported by the recent moderation in inflation that has resulted in higher disposable income, leading to an uptick in rural demand. The agency expects revenue growth to continue in the near-to-medium term on account of increasing demand of SMPL's existing products from existing and new customers. Revenue growth will also be aided by demand of newly launched products for e-2W and e-3W segments, as the demand for electric vehicles pick up in the medium term.

Improvement in EBITDA Margins in FY24, Although Likely to Moderate Slightly in Near-to-medium Term: The EBITDA margins remained rangebound between 10% and 11.5% over FY21-FY23. However, the margins expanded to 13.6% in FY24 (FY23: 10.12%) on account of lower input cost with the easing of commodity cost pressures. The absolute EBITDA increased to INR721 million in FY24 (FY23: INR428 million, FY22: INR294.70 million) due to the increase in revenue and expansion of EBITDA margin. The EBITDA margins were healthy with a return on capital employed of 17.5% in FY24 (FY23: 8%). However, the agency expects the margins to moderate slightly in the near-to-medium term but remain above the historical levels, due to an increase in input cost and added fixed cost of operations after capacity expansion.

Sustained Strong Credit Metrics: The credit metrics remained strong since FY20 and improved further in FY24 with the gross coverage (operating EBITDA/gross interest expense) improving to 6.6x (4.71x, 4.16x) and the net leverage (adjusted net debt/operating EBITDA) to 1.33x (1.87x, 3.12x), owing to the increase in absolute EBITDA. The agency expects the credit metrics to remain strong in the near-to-medium with limited debt exposure as the capex is funded through equity infusion, as well as a further improvement in the absolute EBITDA with the increase in scale of operations.

Experienced and Highly Qualified Top Management with Skilled Work Force: SMPL is a technology-led startup,

founded by a team of highly qualified engineers from IIT Bombay. The promoters have a decade-long experience in technology development, designing and manufacturing of controllers for powertrain engines and genset. The company's workforce also consists of engineers from IIT and other reputed institutions.

Customer and Product Concentration Risk: SMPL's revenue profile is constrained on account of high customer concentration as it derives more than 75% of its income from sales to one key customer, a leading automobile original equipment manufacturer and the balance revenue also comes from few key customers. The high customer concentration makes the company's revenue growth and profitability dependent on its key customers' future growth plans. The company mitigates this risk to some extent by onboarding new customers each year, however, the contribution of new customers in SMPL's revenue has remained limited. Furthermore, it derives 50%-60% of the revenue from two products. Thus, the company's ability to diversify its customer base, and its revenue stream remains critical.

Technology Obsolescence Risk: The nature of operation of the company makes it susceptible to inherent risk of technological obsolescence. The company, however, mitigates this risk to some extent by constant investment in R&D and continuous product development and innovation.

Significant Continuous Investments in R&D through Internal Accruals: SMPL has been investing around 7% of the EBITDA in R&D from internal accruals each year, limiting the availability of free cash flow despite the increase in absolute EBITDA. SMPL invested INR284 million in FY23 towards R&D (FY22: INR179 million) and Ind-Ra expects it to have remained at similar levels in FY24 and will remain so in the near- to-medium term as the nature of operations warrants constant product development.

Liquidity

Adequate: The company's current ratio remained modest while slightly improving to 1.12x in FY24 (FY23: 1.1x). The average maximum utilisation of the fund-based facilities was 81.53% for the 12 months ended March 2024 and is likely to have remained at similar levels till June 2024. The working capital cycle increased to 73 days in FY24 (FY23: 58 days, FY22: 130 days), due to a higher inventory holding period of 118 days (109 days, 173 days). The cash flow from operations declined to INR368 million in FY24 (FY22: INR650 million), due to unfavourable changes in working capital. The free cash flow deteriorated to negative INR232 million in FY24 (FY23: INR74.5 million, negative INR471.3 million) due to the capex of INR665 million (INR576 million, INR498 million) for the addition of a new plant and machinery, and intangible asset. The cash and cash equivalents stood at INR33.5 million at FYE24 (FYE23: INR32.34 million). The company has repayment obligations of around INR135 million and INR137 million in FY25 and FY26, respectively, which will be met through internal accruals. SMPL does not have any capital market exposure and relies on banks and financial institutions to meet its funding requirements.

Rating Sensitivities

Positive: An improvement in the scale of operations, profitability, and liquidity while maintaining the credit metrics, will be positive for the ratings.

Negative: Substantial deterioration in the scale of operations or profitability or liquidity or the net leverage exceeding 3.0x, will be negative for the ratings.

About the Company

Incorporated in July 2007, SMPL manufactures controllers for powertrain engines and genset controllers. It was founded by Shashikanth Suryanarayanan, Amit Dixit and Manish Sharma. The company has an installed capacity of 40,00,000 units. It has two plants - one in Chakan and the other in Dhayari, Pune. The company's corporate office and R&D centre are located at Baner, Pune.

Key Financial Indicators

Particulars	FY24 (Provisional)	FY23
Revenue (INR million)	5,305.73	4,230.28

EBITDAR (INR million)	721.34	428.00
EBITDAR margin (%)	13.60	10.12
Gross interest coverage (x)	6.62	4.75
Net leverage (x)	1.28	1.80
Source: SMPL; Ind-Ra		

Correction in Previous Rating Action Commentary

Ind-Ra updates the instrument type as fund-based limits from fund-based/non-fund-based working capital limits in the rating action commentary dated 8 June 2023.

Status of Non-Cooperation with previous rating agency

Not applicable

Rating History

Instrument Type	Rating Type	Rated Limits (million)	Current Rating/Outlook	Historical Rating/Outlook		
				22 September 2023	8 June 2023	29 March 2022
Issuer rating	Long-term	-	-	WD	IND BBB/Positive	IND BBB/Stable
Fund-based limits	Long-term/Short-term	INR640	IND BBB+/Positive/IND A2+	-	IND BBB/Positive/IND A2	IND BBB/Stable/IND A2
Term loan	Long-term	INR549.1	IND BBB+/Positive	-	IND BBB/Positive	IND BBB/Stable

Bank wise Facilities Details

The details are as reported by the issuer as on (30 Jul 2024)

#	Bank Name	Instrument Description	Rated Amount (INR million)	Rating
1	HDFC Limited	Fund Based Working Capital Limit	80	IND BBB+/Positive/IND A2+
2	HDFC Limited	Term Loan	125.1	IND BBB+/Positive
3	Bajaj Finance	Fund Based Working Capital Limit	150	IND BBB+/Positive/IND A2+
4	ICICI Bank	Fund Based Working Capital Limit	150	IND BBB+/Positive/IND A2+
5	IndusInd Bank Limited	Fund Based Working Capital Limit	160	IND BBB+/Positive/IND A2+
6	Bajaj Finance	Term Loan	147.9	IND BBB+/Positive
7	Yes Bank Ltd	Term Loan	45	IND BBB+/Positive
8	EXIM Bank	Term Loan	160	IND BBB+/Positive

9	IndusInd Bank Limited	Term Loan	71.1	IND BBB+/Positive
10	Yes Bank Ltd	Fund Based Working Capital Limit	100	IND BBB+/Positive/IND A2+

Complexity Level of the Instruments

Instrument Type	Complexity Indicator
Fund-based/non-fund-based limits	Low
Term loan	Low

For details on the complexity level of the instruments, please visit www.indiaratings.co.in/complexity-indicators.

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Evaluating Corporate Governance

Short-Term Ratings Criteria for Non-Financial Corporates

Corporate Rating Methodology

The Rating Process

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